EXECUTIVE OVERVIEW – Liquidity Tabletop Exercise Summary Result

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Date: 6/12/2024

To: ALCO

Submitted By: Derrick Walsh, EVP Chief Financial Officer

Date of Last ALCO Review:	Initial Review
ALCO Action:	Review

Introduction

- The liquidity policy lays out certain activities, of which those germane to a Contingency Funding test are limits on liquidity, triggers as well as a Contingency Funding response
- The tabletop exercise concluded on 05/21/2024 measured the LCT's operational readiness
- Test around an idiosyncratic shock (firm specific) performed with the following action plan:

1. CEO appraises the situation, issues a yellow alert and develops and action plan which includes informing the Board
2. The ALCO chair approved plan is shared with the Liquidity Contingency Team (LCT) and the LCT is activated
3. COO, Head of Commercial Banking and Consumer banking prepare talking points and share with their respective teams
4. CFO, EVP Finance and CIO perform a deep dive into the sources and uses of funds and pull $275m from the unsecured line
5. Increase in marketing spend for UFB deposits along with a new product with higher pricing activated

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- Conclusion: the Bank demonstrated its Contingency Funding Readiness, operational competency, policy effectiveness and overall safe and sound business practices
- A detailed review of the tabletop exercised is presented to ALCO below.

Liquidity Stress Test
May 21st, 2024
Yellow Alert – Tabletop Exercise

The Board of Directors has approved Liquidity Planning Policy #4210, which governs activities related to liquidity. The liquidity policy lays out certain activities, of which those germane to a Contingency Funding test are limits on liquidity, triggers as well as a Contingency Funding response. Management sought to perform a tabletop exercise in which operational readiness would be measured. The results of test are included in this document and will be reported to ALCO on June 12th.

Management discussed the various types of liquidity shocks that could be tested, including market-wide shocks, idiosyncratic shocks or combined shocks, as described below.

1. **Market-wide shocks**: This could involve a sudden and severe economic downturn, such as the 2008 financial crisis. Banks would need to assess their ability to withstand a sharp drop in the value of their assets, a spike in defaults, and a tightening of credit markets.
2. **Idiosyncratic shocks**: These are firm-specific shocks, such as a major lawsuit or regulatory penalty, that could lead to a significant outflow of funds. Banks would need to assess their ability to meet their obligations in the face of such a shock.
3. **Combined shocks**: This scenario combines market-wide and idiosyncratic shocks to assess a bank's resilience under particularly adverse conditions.

Axos management performed a test of the bank's resilience to an **idiosyncratic shock**, as detailed in the next section below:

Scenario Design: Idiosyncratic Shock - Data Breach

- Axos faces an idiosyncratic shock whereby client username and passwords were exposed, leading to a Yellow Alert being issued.
- The list of client data appears on the dark web on May 21st and is immediately picked up by news/media outlets that morning.
- CEO becomes aware of the data breach impacting our customers and activates Contingency Funding Team.

Action Plan:

- **CEO (Greg Garrabrants) Actions following the data breach:**
  1. Appraises the situation and issues a liquidity event / Yellow Alert.
  2. Provides an Action Plan as highlighted in Appendix E of the Liquidity Planning Policy #4210 to the ALCO Chair (Jim Argalas). The ALCO Chair approves/modifies the plan, informs the Board of Directors, and requests ALCO to be convened later that day after the Fed Wire cutoff, given the expected runoff was manageable and management's higher purpose was in that day's operational work. The CEO agreed to provide the ALCO Chair with updates throughout the day.
  3. Shares the ALCO Chair approved plan with the impacted members of the Liquidity Contingency Team (LCT) and activates the LCT.
  4. Works with Investor Relations (Johnny Lai) to issue a press release that describes the issues prior to 9:30 ET. A key narrative is that the breach has been stopped and all impacted accounts have been provided with new temporary passwords. A phone number was provided in which clients could call to speak with a client representative.
- **Call center scripts & business line talking points:**
  1. The COO (Raymond Matsumoto) contacts the customer service managers to make sure the deposit call center was prepared for the expected wave of calls.
  2. The Head of Consumer Bank (Brian Swanson) provides a script to the deposit call center.
  3. The EVP, Commercial Banking & Treasury Management (David Park) provides talking points to the Commercial Treasury Team.
- **Finance & Treasury Actions:**
  1. The CFO (Derrick) coordinates with EVP of Finance (Andy Micheletti) and CIO (Jim Thomas) to perform a deep dive of sources and uses of funds for the day and the week. Regardless of that analysis, Derrick directs Jim to pull down on the unsecured LOC lines by $275mm.
- **Increase ad & marketing spend for UFB deposits:**
  1. SVP, Marketing (Lewis Chang) is given the authorization to increase ad and marketing expenditures to backfill the deposits being lost as well as future runoff.
  2. A new UFB vintage is opened at a higher rate of 5.50%, up from the prior rate of 5.25%.
- **Other areas informed and evaluated:**
  1. CCO (Tom Constantine) is notified that the liquidity alert is not due to a credit issue.
  2. FVP, Secondary Marketing Manager (James Knight) is not contacted, as the volume of mortgages is currently de-minimis.

Funding Activity & Impact:

- Call deposit volume increased 500%. Wait times increased as well. However, by 2pm PT, call volume decreased and wait times were back to normal.
- Wire and ACH activity increased materially, mainly with accounts that had uninsured deposits which equaled $2.5B at the time of the data breach.
- While there were increased OFAC hits with some of the outgoing wires, the team worked to clear them all in a timely fashion.
- By moving to a Yellow alert status, the Level 1 On Balance Sheet Liquidity Level increased from 5.0% to 7.5%.
- Level 1 Liquidity ends at 8.4%, after the below adjustments to the balance sheet.

Impact to key metrics as of end of day, T_0 (relative to prior day, T_{-1})

		A	*B*	*C*
#	**$ in MMs**	**T_{-1}**	**T_0**	**Change**
	Balance Sheet Metrics:			
1.	Securities	30	30	0
2.	Level I Liquidity (HQLA L1) / Cash Reserves	2,330	1,830	-500
3.	- GSE Loans	16	16	0
4.	- HFS Loans	0	0	0
5.	- Warehouse Facility	159	159	0
6.	- FHLB Availability * 80%	2,594	2,514	-80
7.	- FRB Availability * 80%	5,253	5,173	-80
8.	Level II Liquidity (HQLA L2) *[sum rows 3 to 7]*	8,021	7,861	-160
9.	Total Assets	22,400	21,900	-500
10.	LOC Borrowings (unsecured)	0	275	275
11.	Secured Borrowings:			
12.	- FHLB	390	490	100
13.	- FRB	0	100	100
14.	Net Loan Funding (Net payoff)	0	25	25
15.	Total Deposits	19,600	18,600	-1,000
	Capital & Liquidity Metrics:			
16.	Total Capital	2,300	2,300	0
17.	Level I Liquidity (% of total assets)	10.4%	8.4%	-2.0%
18.	Target Liquid Assets / Total Capital[1] *(Min for Yellow alert = 130%)*	450%	421%	-29%

1. [HQLA L1 + HQLA L2 + (80% Borrowing Capacity)] ÷ Total Capital

- ALCO met after Fed Wires closed (same day as the data breach occurred and was identified). ALCO members received a presentation from management, asked questions and minutes were taken.
- The key recommendations were as follows:
  - Management recommended keeping the yellow alert status.
  - Management also recommended keeping the new UFB campaign going until deposit returned to pre-alert levels.

Results:

Axos management performed the below tasks that demonstrate operational readiness.

A) Management was able to successfully use the Contingency Funding call tree.

a. Texts were sent out to all members, except James Knight.

b. 100% of team members replied to the text.

B) The CEO created an action plan:

Liquidity Trigger Event Action Plan				
Action	Expected Impact on Liquidity	Impact on Capital	Implementation Timeframe	Reponsible Party
Borrow Unsecured Lines of Credit	+$275M	None	Day 1	Jim Thomas
Borrow Secured Lines of Credit	+$200M	None	Day 1	Jim Thomas
New UFB Vintage at 25bps higher, or 5.50%	$1B	None	30 Days	Brian Swanson

C) The ALCO Chair reviewed and, as conditioned by Appendix G, approved the plan without modification.

D) Investor Relations issues a press release covering the data breach.
Placeholder:

About Axos Financial, Inc. and Subsidiaries

Axos Financial, Inc. is the holding company for Axos Bank, Axos Clearing LLC and Axos Invest, Inc. Axos Bank is a nationwide bank, with approximately $18.7 billion in assets as of December 31, 2022. Axos Financial, Inc., through Axos Bank, provides consumer and business banking products through its low-cost distribution channels and affinity partners. Axos Clearing LLC (including its business division AAS), with approximately $32.3 billion of assets under custody and/or administration as of December 31, 2022, and Axos Invest, Inc., provide comprehensive securities clearing services to introducing broker-dealers and registered investment advisor correspondents, and digital investment advisory services to retail investors, respectively. Axos Financial, Inc.'s common stock is listed on the NYSE under the symbol "AX" and is a component of the Russell 2000® Index, the S&P SmallCap 600® Index, the KBW Nasdaq Financial Technology Index, and the Travillian Tech-Forward Bank Index. For more information on Axos Financial, Inc., please visit investors.axosfinancial.com.

Forward-Looking Safe Harbor Statement

This press release contains forward-looking statements that involve risks and uncertainties, including without limitation statements relating to Axos' financial prospects and other projections of its performance and asset quality, Axos' deposits and capital ratios, Axos' ability to continue to grow profitably and increase its business, Axos' ability to continue to diversify its lending and deposit franchises, the anticipated timing and financial performance of other offerings, initiatives, and acquisitions and expectations of the environment in which Axos operates. These forward-looking statements are made on the basis of the views and assumptions of management regarding future events and performance as of the date of this press release. Actual results and the timing of events could differ materially from those expressed or implied in such forward-looking statements as a result of risks and uncertainties, including without limitation Axos' ability to successfully integrate acquisitions and realize the anticipated benefits of the transactions, changes in the interest rate environment, monetary policy, inflation, government regulation, general economic conditions, changes in the competitive marketplace, conditions in the real estate markets in which we operate, risks associated with credit quality, our ability to attract and retain deposits and access other sources of liquidity, and the outcome and effects of litigation and other factors beyond our control. These and other risks and uncertainties detailed in Axos' periodic reports filed with the Securities and Exchange Commission could cause actual results to differ materially from those expressed or implied in any forward-looking statements. You are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date of this press release. All forward-looking statements are qualified in their entirety by this cautionary statement, and Axos undertakes no obligation to revise or update any forward-looking statements to reflect events or circumstances after the date of this press release.

Johnny Lai, CFA
SVP, Corporate Development and Investor Relations
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E) Treasury tested Unsecured Lines of Credit by borrowing de-minimis amounts at our correspondent banks.

Correspondent:	**Capacity:**
Line of Credit PCBB	$150,000,000
Line of Credit Zions	$25,000,000
Line of Credit Wells Fargo	$25,000,000
Line of Credit BMO	$25,000,000
Line of Credit PNC	$25,000,000
Line of Credit US Bank	$25,000,000
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Total Lines of Credit	$275,000,000

F) Tested Secured Lines of Credit by borrowing a de-minimis amounts at FHLB and FRB. The amount of liquidity at these secured sources is approximately $10B.

LIQUIDITY SUMMARY

03/31/2024

	After Haircut	Balance Sheet	Amounts Qualifying for Liquidity
Fed Funds/FRB Cash Balance/Level 1			$ 2,029,288,506
Unencumbered On B/S Liquid Investments/Level 1			$ 30,903,383
CD Investments/Level 1			$ 345,000
Total Liquid/Level 1			$ 2,060,436,898
Borrowing Limit with Street is 330% of Capital			$ 7,561,547,400
Pledged on Street (Agency Debt)	6%	$ -	$ -
Cash Pledged as Collateral for Borrowing, TBA and LOC	100%	$ -	$ -
Street Borrowing & TBA / Collateral (Agency + Cash)	6%	$ -	$ -
Reverse Repo Capacity			$ 7,561,547,400
Remaining Reverse Repo Liquidity (Lesser of 330% of Capital - Total Repo -or- Repo Capacity)			$ -
Total Financing Availability at FHLB-SF			$ 3,632,288,533
Term Credit Outstanding / Letters of Credit			$ 390,000,000
Overnight Borrowing			$ -
Total Credit Outstanding			$ 390,000,000
Remaining Finance Availability at FHLB-SF			$ 3,242,288,533
Federal Reserve Discount Window Borrowing - Loans	84%	$ 7,834,947,779	$ 6,656,580,448
Federal Reserve Discount Window Borrowing - Securities	6%	$ -	$ -
Federal Reserve Discount Window Borrowing - Collateral	84%	$ 7,834,947,779	$ 6,656,580,448
Discount Window Advances			$ -
Federal Reserve Discount Window Borrowing - Capacity	84%	$ 7,834,947,779	$ 6,656,580,448
GSE Loans	98%	$ 16,239,416	$ 15,914,627
HFS Loans	92%	$ -	$ -
Warehouse Facility	100%	$ 159,080,829	$ 159,080,829
Total Short-Term Assets/Facilities	100%	$ 175,320,244	$ 174,995,456
Line of Credit PCBB			$ 150,000,000
Line of Credit Zions			$ 25,000,000
Line of Credit Wells Fargo			$ 25,000,000
Line of Credit BMO			$ 25,000,000
Line of Credit PNC			$ 25,000,000
Line of Credit US Bank			$ 25,000,000
Total Line of Credit			$ 275,000,000
Total Liquidity			$ 12,319,281,333

Liquidity Percent	537.64%
Liquidity Requirement	110.00%
Level 1 Liquidity	9.45%
Level 2 Liquidity	10.26%

Total Capital	$	2,291,378,000.00
Total Assets	$	21,804,701,504.25

Liquidity Stress Test Appendix B	55%
Less 10% Run of Deposits:	45%

G) Consumer Bank Actions:

Per the action plan from the Liquidity Contingency Team (LCT), Brian Swanson - EVP, Head of Consumer Bank, works with the corporate communications and the marketing team to deliver a script/messaging to the call center staff that providing information to customers on status, answers to key questions and pointing them to the press release put out by Investor Relations.

Also authorizes Lewis Chang - SVP, Marketing to increase ad and marketing expenditures to backfill the deposits being lost as well as future runoff. A new UFB vintage is opened at a higher rate relative to the offers in place prior to data breach (example, increases the offer to 5.50%, from the prior rate of 5.25%).

H) Commercial Banking & Treasury Management Actions:
David Park provided talking points to the Commercial Treasury team, as shown below.

Per the action plan from the Liquidity Contingency Team (LCT), David Park – EVP Commercial Banking & Treasury Management to prioritize a client call list, share with the Commercial Banking reps and direct which client groups would be contacted and by whom, provide a script/messaging on answers to expected questions. FAQs are provided to all servicing colleagues to help address incoming questions from clients. E-mail communications are provided to all impacted clients with a link to the Investor Relations press release and a status update on the actions that have been taken.

I) Derrick Walsh – EVP, CFO, Andy Micheletti – EVP, Head of Finance and Jim Thomas – SVP, CIO/Treasurer reviewed the following report that culminates to a projected funding requirement for the day.

Daily Cash Position Report
May 21, 2024

Federal Reserve Bank (FRB)	
FRB Acct# 122287251	ABA 122287251
Balance per FRB-	2,465,470,148.00
Intra-Bank Transfers:	
FRB (to) PCBB	(17,836,504.93)
FRB from PCBB	10,981,000
FRB (to) FHLB	-
FRB from FHLB	100,000
FRB (to) HRB	-
FRB from HRB	-
	(6,755,505)
Credits:	
Wires in	110,567,209.08
ACH CREDITS (NSS/DTCC)	551,217.90
Other Avail	–
PPP DEPOSITS	-
Fed Interest	-
Fed Borrowing	1,000.00
Reserve Red	-
Next Day /Late Incoming Wires	-
Total adds =	111,119,426.98
Charges:	
Wires out	(265,578,467.28)
HRB Holding	-
BofI / ECS Reserves	-
Miscellaneous Outage	-
ACH DEBITS (NSS/DTCC)	-
Overnight Borrowing	-
Borrowing Interest Due	
Pending Loan Funding	-
PPP Loan Payoff	-
Total deletes =	(265,578,467.28)
Balance per FRB-	2,304,255,602.77
FRB Held back =	$ -
EOD =	$ 2,304,255,602.77

Pacific Coast Bankers Bank (PCBB)	
PCBB Acct# 122287251	ABA 121042484
Balance per PCBB -	80,426.85
Intra-Bank Transfers:	
PCBB (to) FHLB	-
PCBB from FHLB	-
PCBB (to) FRB	(10,981,000)
PCBB from FRB	17,836,504.93
PCBB (to) HRB	-
PCBB from HRB	
	6,855,504.93
Credits:	
Wires in	3,010,605.17
Wires in	-
Clean Collection	-
Cash Letter In	-
Sweep interest income	-
EBA Transfer	-
Cash credits	86,061,668.11
Funds Borrowed	10,000
Total adds =	89,082,273.28
Charges:	
Int'l Wires out (Multiple)	(1,644,083.61)
REG E-It'll Wires out (Multiple)	-
Return Clean Colections	-
Int'l Wires out	-
Fed Funds sold:	-
Cash Order	-
Cash debits	(94,293,517.52)
EBA Transfer	-
PCBB Analysis Fees	-
Total deletes =	(95,937,601.13)
Balance per PCBB -	80,603.93
PCBB Held Back =	10,000
EOD =	$ 70,603.93

PCBB (HRB)	
PCBB Acct# 001005936	ABA 121042484
Balance per PCBB -	-
Intra-Bank Transfers:	
HRB (to) FRB	-
HRB from FRB	-
HRB (to) PCBB	-
HRB from PCBB	-
HRB (to) FHLB	-
HRB from FHLB	-
	-
Credits:	
Wires in	-
Wires in	-
Wires in	-
Wires in	-
Sweep interest income	-
EBA Transfer	-
Cash credits	-
Other	-
Total adds =	-
Charges:	
Int'l Wires out (Multiple)	-
Int'l Wires out	-
Int'l Wires out	-
Int'l Wires out	-
Fed Funds sold:	-
Cash Order	-
Cash debits	-
EBA Transfer	-
PCBB Analysis Fees	-
Total deletes =	-
Balance per PCBB -	-
PCBB Held Back =	0
EOD =	$ –

Federal Home Loan Bank (FHLB)	
FHLB Acct # 11900075	ABA 121000701
Balance per FHLB-	$ 382,978.01
Intra-Bank Transfers:	
FHLB (to) PCBB	-
FHLB from PCBB	-
FHLB (to) FRB	(100,000)
FHLB from FRB	-
FHLB (to) HRB	-
FHLB from HRB	
	(100,000.00)
Credits:	
Capital Stock Redemption	-
New/Addle Advance	-
Principal & Interest Received	–
Settlement:	
Quarterly dividends	-
Interest payments	-
Overnight Advances:	100,000.00
Overnight Advances:	-
	100,000.00
Charges:	-
Adv. Interest	-
FHLB Adv. Maturity	-
Securities Transaction	-
Capital Stock Purchase	-
Overnite Advances Due:	
Overnight Int Payment	-
Bond Purch FNR	-
Service Charge	-
Total deletes =	-
Balance per FHLB-	$ 382,978.01
FHLB Held back	$ -
EOD =	$ 382,978.01

Cash Position
$ 2,465,933,552.86
-
200,301,700.26
(361,516,068.41)
$ 2,304,719,185
$ 2,304,709,185
18598950

Wire Analytics:	
Single Family Wires	3
WLD Wires	28
Other Fundings	21
Net Teller Wires/ EWMs	385
Deposits Wires	14
Incoming Wires	336
AU Incoming Wires	129
Total outgoing Wires	**451**
OUTGOING Wires Totals:	**$283,414,972.21**
Wires Out:	$265,578,467.28
INCOMING Wires Totals:	121,648,209.08
Wires In:	$110,567,209.08

Wire Fundings Projections:	
SFR	–
WLD	–
IPL	–
Cap Mkts	–
OBS/DLO	–
DEPOSITS	–
Others Loan Servicing	–
LINQ Checklist Asset Ad:	**100,734,524.08**
Loan Funding's:	100,734,524.08
Ad to Assests:	-

Daily Capital Check:		
Total Capital	$ 2,282,594,991.81	4400900
Cash Requirement (3%)	68,477,850	
Total Cash on hand	$ 2,304,969,184.71	1055000
Meets daily cash req.	**Pass**	
121,648,209.08	CREDIT/ IN	
–		
121,648,209.08		
283,414,972.21	DEBIT/ OUT	
–		
283,414,972.21		

Capital Purchase-2.7% Requirement	
5/20/2024	
FHLB L/T Advances	90,000,000
FHLB O/N Advances	0
Total Advances	$ 90,000,000.00
FHLB Capital	17,250,000
Capital/Advance Ratio	**19.167%**
5/21/2024	
	90,000,000
FHLB O/N Advance	100,000
Total Advances	90,100,000.00
FHLB Capital	17,250,000
Sum	19.145%

HRB HOLDING:
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J) The close of day reporting of Liquidity showed that the Bank had passed, as shown below.

Axos Bank
Daily Cash Activity Balancing **5/21/24**

Liquidity Trigger Events / Ratio Limitations By Alert Level

Regulatory				
to 5	2		Composite Rating	OK
YES/NO	NO		Consent Order with a capital requirement?	OK
	YES		In Compliance?	
Bank Specific				
%A NPL & Assets	0.54%		Is Asset Deterioration Greater than 3.5%	OK
25%<Texas Ratio>50%	5.32%		What is the current percentage of the Texas Ratio?	OK
Capital Deterioration	14.26%		Risk Based Capital Percentage	OK
	11.47%		Core Capital Level Percentage	
Core Earnings	1.95		Core Earnings MRQ	OK
	1.38		Core Earnings 2023Q4	
	1.25		Core Earnings 2023Q3	
	41%		Percent Change in MRQ	
	10%		Percent Change in 2023Q4	
Signigicant Negative Publicity	Yes		Is there Significant negative publicity currently?	YELLOW
	NO		Deposit run of 5% or greater non-renewal	
	NO		5% or more CD Termination	
			Review deposit attrition rates and new accounts opened vs. historic openings to assess impact of publicity on capital raise. Review opprotunity for increased ad/media spending to counteract negative publicity.	
Awareness of Negative Publicity	NO		Awareness of event w/ potential for Medium Impact?	OK
	NO		Awareness of event w/ potential for Severe Impact?	
Liquidity Ratio	10.31%		Level 1 - On Balance Sheet Liquidity / Total Assets	OK
	11.10%		Level 2 - On Balance Sheet Liquidity / Total Assets	OK
	Green		Alert Level	
	538%		What is the current Month End liquidity ratio?	OK
IDC Score Decrease	300		IDC Score?	OK
ALCO, Board or Senior Mgt	NO		Concern Related to Deposit or Funding business	OK
	NO		Significant Concern related to Deposit or Funding Business	
Bank Specific				
Net Charge Off Rate	0%		What is the Net Charge off rate for MRQ	OK
	0%		What is the Avearge Net Charge off rate for Last 3 Quarters	
Repurchase Risk Loans	0%		Current Delinquent Loans are Greater than 50% of Capital	OK
System Liquidity Issues				
Capital Market Dislocation	0.34	0.34	TED Spread (Liquidity)	OK
	0.26	0.26	LIBOR OIS Spread (3m Eurodollar less 3m Fed Funds)	OK
Liquidity Ratio	0.00%		Crypto Deposits / Total Assets	OK

Prepared By: Approved By: Jim T ALERT!

Lessons Learned

In testing the operational capabilities of OnSolve, our preferred vendor for Call Tree notifications, we were able to identify two items. 1) One of the team member's phone number was not reflecting their mobile line, thus was "not reached". This was corrected on the same-day and the text was responded to on the same-day as well. 2) The text had some ambiguity as to the required response; however, the text would have had more specific action items than simply reply "1" or click the link, as this was set up as a simulation and not an actual live alert.

The members had a robust discussion on the movement of collateral from FHLB to FRB. Another discussion focused on the experience of Signature Bank, Silicon Valley Bank, Silvergate Bank, First Republic Bank and New York Community Bank in 2023. Another discussion highlighted that many of the items in this simulation are being performed quarterly and reported in ALCO.

Conclusion

Axos has demonstrated its Contingency Funding Team's readiness, demonstrated its operational competency, demonstrated policy effectiveness, and demonstrated overall safe and sound business practices.